

determined government can always generate higher spending and hence positive inflation.³

Bernanke made it sound like a piece of cake. He should have appended a footnote. Inflating is easy when the credit cycle is expanding. When an economy transforms itself from grasshopper to ant, it gets harder. People switch from borrowing, spending, and investing to exterminating debt and hoarding cash. That's when stimulus measures—fiscal or monetary—cease to work. It's when the formula of the previous half-century becomes worthless. That's when the cynics begin warming up for their final laugh. But we're getting ahead of ourselves.

The boom had begun during the Reagan administration—in fact, it turned around on almost the very day that Ronald Reagan was inaugurated. We attended his inaugural ball, sure that the trends of the past 20 years would last a few more years. Consumer prices had been rising steadily—and were now going up at 12 percent per year. And gold had gone from \$41 per ounce at the beginning of the 1970s, to more than \$800 by the time the 1979 election results were in. How were we to know that that trend had run its course?

The country had seen what stagflation would do to it. It had had enough. Even economists recognized the need for a change. Easy money policies were out of the question; the bond “vigilantes” already had their eyes on M3, the broadest measure of the money supply. And consumers were ready to ditch the dollar. Volcker knew he couldn't hope to go along and get along. He had to jack up rates—over 20 percent—to save the dollar; damn the recession!

Recession came, with the economy going into the worst recession since the 1930s. But it worked, and the price of the dollar—measured in gold—rose for the next 20 years. Woe to the “gold bugs” who stuck with it. . . .

But wait, suppose the gold bugs actually did stick with it? Suppose they looked up on August 16, 1971, and read the handwriting on the wall. The day before, Richard Nixon had “closed the gold window” at the Treasury. Henceforth, you could rap on the glass all you wanted. Even if you were Charles de Gaulle, you still wouldn't be able to trade your paper dollars for the gold you were promised.